

the month, and pay the entire balance off timely each month, there is no finance charge. That is how it happens in a perfect world. Most of us cannot pay off in full each month. If you do not pay the balance in full and have an amount carrying over to the next bill, any subsequent purchases that month get interest accrued from the date of purchase. As in the minute it hits your statement. There is no grace period. You do not have a 30-day period of no interest for new purchases. That's a hidden whammy few people are aware of and one that the lenders don't advertise in large bold type.

Terms can
change,
at any time
for any
reason.

Kathy started out with a shiny brand new card and shiny zero balance. The first two months, she paid off her balance in full. Then the next month, she only paid the minimum payment and made several purchases. Those purchases hit the card and started tallying up the interest immediately. She could not pay off the balance in full the next month, and those balances carried over. She had to use her credit card when her car broke down the next month, so that expense started racking up interest the minute it hit her account. She went from being able to pay off her balance to being buried in three short months.

Looking Out for #1

As I have said time and time again, fees are the heartbeat of the consumer lending industry, and they are out for blood. In addition to an "annual fee," you can be charged a late fee, usually around \$35. If you know your payment won't arrive in time by mail and want to avoid a late fee, you can make a telephone payment – but, you could be charged another fee of \$14.95 or more by some banks. If you want a copy of your statement, there is no courtesy; there's very likely another fee. If your payment check bounces, there is a fee. If you forget to sign your check, they can hit you with a \$35 fee. The creditors and the lenders make no apologies for their business practices of fees, fees, fees. They say that they disclose their fees and that it is *buyer beware*.

Pam likes to pay her bills online to save time and postage. Her credit card company very often says that their online payment service is "down."